

Q: If I'm turned down for a loan, do I get to find out why?

A: Yes. The Equal Credit Opportunity Act says that if your application for credit is denied, the lender must either give you an explanation for the rejection or inform you how you can get an explanation. If you ask for a specific reason, the lender is required to provide you with one. According to the Federal Trade Commission, explanations should be fairly specific—for example, you earn too little money or you haven't worked long enough. Vague reasons—such as not meeting the creditor's "minimum standards"—aren't acceptable.

THE COST OF A WEAK CREDIT SCORE			
SCORE	INTEREST RATE (NATIONAL AVERAGE)	MONTHLY PAYMENT	TOTAL COST (MORTGAGE PLUS INTEREST)
760–850	5.68%	\$1,158	\$416,880
700–759	5.90%	\$1,186	\$426,960
660–699	6.18%	\$1,222	\$439,920
620–659	6.99%	\$1,329	\$478,440
580–619	9.02%	\$1,613	\$580,680
500–579	10.31%	\$1,801	\$648,360
Source: MyFICO.com			

Under the Fair Credit Reporting Act (FCRA), if the denial was due to something in your credit report, the lender must tell you the name and address of the credit agency that provided information about you. If you're denied credit, credit agencies are required by law to send you a free credit report if you request it within 60 days. The same is true if you've been turned down for a job or an apartment because of your credit history. (Unfortunately, you aren't entitled to get a free copy of your scores.)

Q: How long will my credit report show my misdeeds?

A: Most negative information will be deleted from your report after seven years. If you ever file for bankruptcy, it could take ten years before your credit report will be clean. This doesn't mean you won't be able to get credit before then. Your behavior in the last two years or so counts the most.